

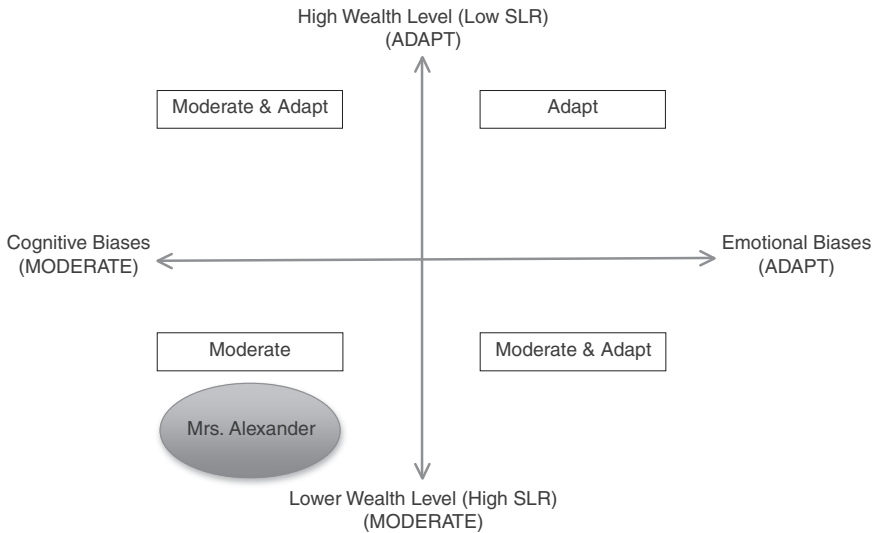


FIGURE 25.2 Illustration of Mrs. Alexander’s Case Study Information

needs to help her understand that she would be at risk if she accepted a 100 percent bond portfolio. Because her biases are principally cognitive (mental accounting, anchoring), and these types of biases can be corrected with education and advice, Spencer is confident he can help her make changes. Spencer now has the information needed to make a moderate versus adapt decision as illustrated in the table seen in Figure 25.2.

Behaviorally Modified Portfolio Decision Spencer decides that an appropriate course of action is to *moderate* Mrs. A’s bias preferences, so he recommends that she accept some risk in her portfolio. Spencer reasons that an appropriate moderation of Mrs. A’s biases will result in the “rational” allocation of **75 percent bonds, 15 percent equity, and 10 percent cash** (the mean-variance recommendation). Spencer checks his financial planning software to make sure that this allocation will statistically ensure that Mrs. A will not outlive her money. The software shows that this allocation is acceptable. Spencer explains to Mrs. A how an allocation based on her biases may have led to an allocation such that her resources would have likely been depleted before her death. Thus, Spencer recommends the **75 percent bonds, 15 percent equity, and 10 percent cash** allocation to Mrs. A. Also, Spencer will continue a program of investor education on the risk of outliving one’s assets.